

June 4, 2026 03:58 PM GMT

Asustek Computer Inc. | Asia Pacific

Strong Preliminary April Profits

Key Takeaways

- Asustek's April profits imply upside risks to both our 2Q estimates and the Street's.
- However, we hold to our view that the market will repay the pulled-forward demand sometime in 2H...
- ...when PC prices rise more meaningfully for consumers, which will eventually lead to demand destruction.
- We also think this is priced in with the stock up 51% over the past month (the TAIEX is up 12% over the same period).
- Within our Greater China PC OEM coverage, we have a relative preference for Lenovo (EW) over Asustek (UW) and Acer (UW).

Asustek reported April 2026 profit numbers per TWSE regulatory requirements.

- April 2026 revenue was NT\$84.9bn.
- April 2026 NP was NT\$5,313mn (+283% y/y), which accounts for 42% and 50% of our and the Street's 2Q26 NP estimates, respectively.
- NpM was 6.3%

Backdrop: On its 1Q26 earnings call in May ([report](#)), Asustek reported a 1Q results beat and provided strong 2Q26 guidance for its PC (+10-15% q/q) and server businesses (+50% q/q).

This aligns with Lenovo's comment that PC pull-ins will persist into 2Q ([report](#)), though Asustek's OpM guidance appeared to be overly conservative at only 4-5%, vs, April NpM of 6.3%..

Exhibit 1: Asustek's preliminary April 2026 profit numbers

NT\$ M	Apr-26	Apr-25	y/y	2Q26	
				MSe	Cons
Revenue	84,881	51,972	63.32%	244,515	226,230
Pre-tax profit	5,050	1,566	222.48%	16,241	13,277
Net profit	5,313	1,387	283.02%	12,618	10,622
EPS (NT\$)	7.15	1.87	282.53%	16.99	14.30
Pre-tax margin	5.9%	3.0%		6.6%	5.9%
Net margin	6.3%	2.7%		5.2%	4.7%

Source: Company data, Visible Alpha, Morgan Stanley Research estimates.

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Asustek Computer Inc. (2357.TW, 2357 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Underweight			
Industry View	In-Line			
Price target	NT\$570.00			
Up/downside to price target (%)	(36)			
Shr price, close (Jun 4, 2026)	NT\$892.00			
52-Week Range	NT\$964.00-490.00			
Sh out, dil, curr (mn)	743			
Mkt cap, curr (mn)	NT\$662,542			
EV, curr (mn)	NT\$574,027			
Avg daily trading value (mn)	NT\$2,798			

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	59.99	59.22	57.19	56.61
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	56.11	54.14	58.16	59.92
Revenue, net (NT\$ mn)	688,935	903,938	1,006,414	1,133,169
EBITDA (NT\$ mn)	35,091	46,917	43,605	42,836
ModelWare net inc (NT\$ mn)	44,558	43,988	42,481	42,048
P/E	9.1	15.1	15.6	15.8
P/BV	1.4	2.2	2.1	1.9
ROE (%)	16.5	15.2	14.1	13.4
EV/EBITDA	9.1	12.2	13.1	12.6
Div yld (%)	6.2	4.6	4.5	0.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Asustek Computer Inc. 2357.TW			
Preliminary April profits announcement	04 Jun 2026	Weakens	↑ Meaningful upside surprise

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Lenovo (0992.HK)

Base case, residual income model. Our key assumptions include a cost of equity of 9.3% (beta of 1.1, risk-free rate of 2.0%), a medium-term growth rate of 5.0%, and a terminal growth rate of 3.0%.

Risks to Upside

- Faster-than-expected smartphone and data center turnaround
- Stronger PC demand recovery in China
- Better cost savings and improved product mix
- Lower-than-expected increase in memory price

Risks to Downside

- Slower-than-expected smartphone and data center turnaround
- Weaker PC demand recovery in China
- Deterioration in cost savings and product mix
- Higher-than-expected increase in memory price

Acer Inc. (2353.TW)

Base case, residual income model. We use RI model for Acer's valuation. Key assumptions include a cost of equity of 9.2% (beta of 0.9, equity risk premium of 10.2% and risk-free rate of 0.5%), a 6.0% medium-term growth rate, and a 3% terminal growth rate.

Risks to Upside

- Stronger macro recovery than expected
- Share gains in the PC market
- Better-than-expected cost controls
- Lower-than-expected increase in memory cost

Risks to Downside

- Weaker macro recovery than expected
- Share loss in the PC market
- Worse-than-expected cost controls
- Higher-than-expected increase in memory cost

Asustek Computer Inc. (2357.TW)

Base case, sum of the parts:

We apply a 9x multiple to Asustek's 2026 brand profits. This is somewhat below the midpoint of its historical band of 7-15x since 2009, which we view as fair because memory prices are rising and will have a negative impact on margins.

We value its stakes in Pegatron and Advantech based on our price targets in proportion to Asustek's holdings.

Risks to Upside

- Stronger global NB demand
- Stronger AI server demand
- Stronger ROG Ally demand
- Better margin recovery
- Slower rise of memory prices

Risks to Downside

- Weaker global NB demand
- Weaker AI server demand
- Weaker ROG Ally demand
- Slower margin recovery
- Memory prices rises faster than expected

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

Acer Inc. (2353.TW) - As of 06/04/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 6/1/21 : U/I; 5/1/23 : E/I; 4/23/25 : U/I

Price Target History: 5/6/21 : 29.5; 7/23/21 : 21.5; 3/7/22 : 23; 5/6/22 : 22.5; 7/15/22 : 17; 10/6/22 : 15.5; 1/30/23 : 14.6; 3/17/23 : 15.5; 5/1/23 : 24; 8/1/23 : 29; 5/22/24 : 45; 3/11/25 : 40; 4/23/25 : 26; 11/16/25 : 20; 4/17/26 : 21

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Asustek Computer Inc. (2357.TW) - As of 06/04/26 GMT in TWD
Industry : Greater China Technology Hardware



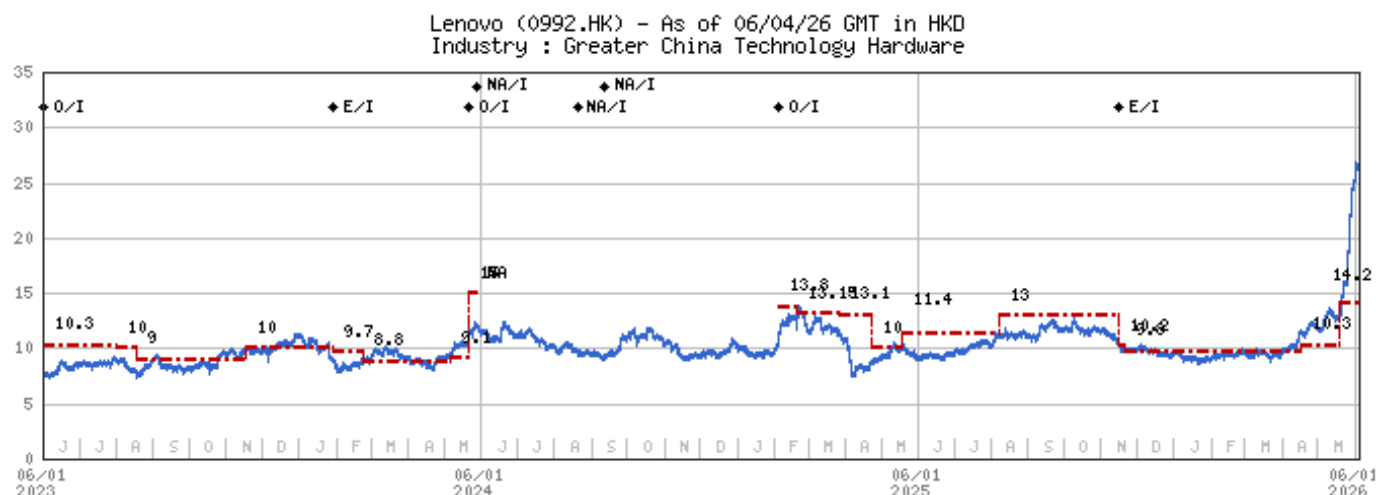
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/04/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$47.58
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb220.56
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$29.64
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.61
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.69
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb775.94
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$659.00
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb5.16
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb30.63
Largan Precision (3008.TW)	E (10/17/2025)	NT\$3,825.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb8.85
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb10.05
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$9.38
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb56.27
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$42.02
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb59.72
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$82.20
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb480.45
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb20.57
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$28.38
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb455.89
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$250.80
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb123.74
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb37.18
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb1,280.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$28.38

ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb37.74
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,510.00
Advantech (2395.TW)	O (01/20/2021)	NT\$522.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,310.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$29.25
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,155.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb6.15
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,420.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,620.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$214.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$68.50
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$358.00
Innolux (3481.TW)	E (04/07/2025)	NT\$55.80
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$5,350.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb43.64
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$101.50
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb17.06
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.92
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb8.24
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb203.80
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$39.10
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$892.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$42.35
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$9.13
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$374.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,350.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb63.36
Lenovo (0992.HK)	E (11/16/2025)	HK\$25.00
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$2,400.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$878.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$97.00
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$404.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb143.96
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb393.38
Unimicron (3037.TW)	O (02/23/2026)	NT\$971.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$176.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$5,570.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$743.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$492.50
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,710.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,185.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$242.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$2,425.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,985.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb78.55
Foxconn Technology (2354.TW)	U (04/23/2025)	NT\$62.30
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb24.94
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$293.00
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,580.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb14.99
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$248.50
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb74.59

Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT\$168.50
Tong Hsing (6271.TW)	E (03/18/2019)	NT\$243.50
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$402.00

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